receiver's bank branch on the same day in batches. Unlike traditional processes, EFT saves the effort of sending a demand draft through post and the inherent delay in reaching the money to the receiver. Banks may charge commission for using this service. EFT is a widely used method for moving funds from one account to another in B2B business models.

16.4.3 Real Time Gross Settlement:

Real Time Gross Settlement system (RTGS) is a payment system particularly used for the settlement of transactions between financial institutions, especially banks. As name indicates, RTGS transactions are processed at the real-time. RTGS payments are also called as push payments that are initiated ("triggered") by the payer. RTGS payments are generally large-value payments, i.e. high-volume transactions.

DO YOU KNOW?

The development and maintenance of NEFT or RTGS systems worldwide is driven primarily by the central bank of a country. (RBI in India)

Real-time gross settlement transactions are:

- Unconditional - the beneficiary will receive funds regardless of whether he fulfills his obligations to the buyer or whether he would deliver the goods or perform a service of a quality consistent with the order.
- Irrevocable - a correctly processed transaction cannot be reversed and its money cannot get refunded (the so-called settlement finality).

16.4.4 Electronic wallets

Electronic wallets (e-wallets) or electronic purses allow users to make electronic transactions quickly and securely over the Internet through smartphones or computers. The electronic wallet functions almost the same as a physical wallet in term that it holds our money. Electronic wallets were first recognized as a method for storing money in electronic form, and became popular because it provides a convenient way for online shopping.

With the development of advanced Internet, the use of electronic wallets turned out as an efficient transaction tool. This is evidenced by the many E-Commerce websites that use electronic wallets as a transaction tool. There are several electronic wallet services that are now widely used. e.g. :PayPal, SBI Buddy. See Figure 16.8

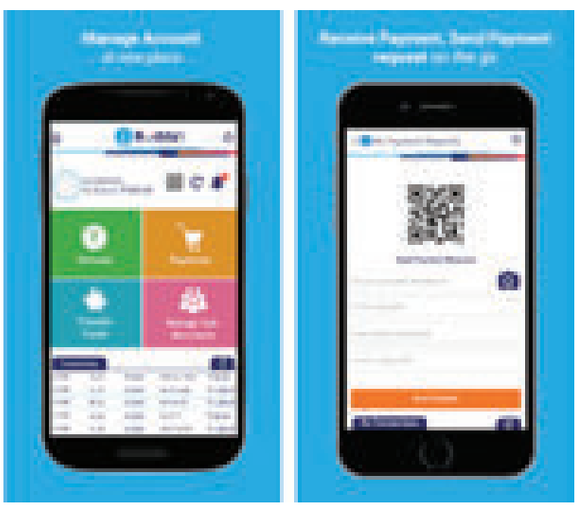


Figure 16.8 e-wallets

16.5 Mobile Banking and Internet Banking

As smartphones have already usurped the place of digital camera and voice recorders, soon it will double up as virtual

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